

DYNASTY BUILDERS ACADEMY

California Life & Health Insurance Licensing Exam

COMPLETE STUDY GUIDE

Chapters 1–12 · Chapter Summaries · Exam Strategies · Practice Q&A
150+ Exam Questions with Answers · Final Exam Prep · CA-Specific Rules

Making Dreams Come True, One Policy at a Time

EXAM STRATEGIES & HOW TO USE THIS GUIDE

The 3-Pass System

- Pass 1 — Chapter Summaries: Read each summary the day before your exam to pre-load the vocabulary.
- Pass 2 — Practice Q&A;: Work through all questions. Mark ones you got wrong with a checkmark.
- Pass 3 — Review Wrong Answers: Only re-study the marked questions the morning of your exam.

High-Yield CA-Specific Rules to Memorize

- Free-look period: 10 days (life), 10–30 days (annuities by product).
- Grace period: 31 days (life), 10 days (health).
- Reinstatement period: up to 3 years (life); 5 days for health after lapse.
- CA Department of Insurance (CDI) has NO jurisdiction over Medicare or Social Security.
- A foreign insurer = organized in another U.S. state. An alien insurer = organized in another country.
- The word "may" in CA Insurance Code = permissive. The word "shall" = mandatory.
- "Materiality" = a fact so important it could affect the policy premium.
- Life settlement broker = represents the individual wanting to sell their policy.
- Misrepresentation on an application = NOT a Federal offense (state jurisdiction).
- HIV testing requires a signed consent form BEFORE testing.
- MRMIP = Major Risk Medical Insurance Program (CA-specific high-risk pool).

Memory Tricks for Tricky Concepts

- CLOC = Contract elements: Competent parties, Legal purpose, Offer & acceptance, Consideration.
- Types of authority: Express (written), Implied (assumed), Apparent (appearance/actions).
- Hazards: Physical (tangible conditions), Moral (dishonest behavior), Morale (indifference to loss).
- Risk types: Pure risk = insurable (loss only). Speculative risk = NOT insurable (gain or loss).
- Term life = NO cash value. Whole life = HAS cash value. Universal = flexible premium + cash value.
- Variable life = cash value in SEPARATE account (securities). Equity Indexed = tied to index, NOT securities.
- Medicare: A = Hospital, B = Medical (20% coinsurance), C = Advantage, D = Drugs.
- Social Security fully insured = 40 quarters. Currently insured = 6 quarters in last 13.
- MEC = "Failed the 7-pay test." Penalty on premature withdrawals = 10% tax.
- Beneficiary order: Primary → Contingent (Secondary) → Tertiary.
- Per capita = by the person. Per stirpes = by the bloodline (to deceased beneficiary's heirs).
- Insurable interest: must exist at TIME OF APPLICATION only (not at time of claim).

Exam Day Tactics

- Eliminate obviously wrong answers first. Then choose between the remaining two.
- Watch for "EXCEPT," "NOT," and "ONLY" — these change the entire meaning of a question.
- When asked about "policy owner" vs "insured," choose policy owner unless only "insured" is offered.
- Dividends from mutual insurers = return of premium = NOT taxable income.

- "Risk is eliminated by insurance" = ALWAYS FALSE. Risk is transferred, not eliminated.
- If a question involves CA Insurance Code and lists "CDI jurisdiction" — exclude Medicare/SS.
- The answer that restores the insured to their original financial position = indemnity principle.
- When in doubt between two similar answers, the longer, more specific answer is usually correct.

Chapter 1 — Basic Principles of Life & Health Insurance

Types of Companies

- Stock Company (Nonparticipating): Owned by stockholders. Stockholder dividends are taxable.
- Mutual Company (Participating): Owned by policyholders. Policy dividends = return of premium = NOT taxable.
- Assessment Mutual: Assesses premiums at time of loss. Pure assessment = no advance premium.
- Fraternal Benefit Society: Non-profit, lodge system, not formed solely to provide insurance.
- Reciprocal Insurer: Risk sharing — each policyholder assumes a share of another's risk. Attorney-in-fact manages transactions.
- Risk Retention Group (RRG): Liability insurance for entities with a common bond.
- Risk Purchasing Group (RPG): Buys coverage for members. RPG = master policyholder; members = certificate holders.
- Reinsurer: Insurance for insurance companies. Treaty = automatic. Facultative = case-by-case.
- Captive Insurer: Covers loss exposure of its parent organization.
- Surplus Lines Carrier: Unauthorized insurer providing coverage when authorized insurers decline.

Authorization / Domicile

- Authorized (Admitted): Has certificate of authority from state insurance department.
- Domestic Insurer: Organized and incorporated in the state where writing business.
- Foreign Insurer: Organized under laws of a DIFFERENT U.S. state.
- Alien Insurer: Organized under laws of a DIFFERENT NATION.

Key People

- Producer: Licensed individual who solicits, sells, or transacts insurance.
- Agent: Appointed by insurer; represents insurer; CAN bind coverage.
- Broker: Represents the consumer; NOT appointed by insurer; CANNOT bind coverage.
- Underwriter: Reviews and classifies applications; approves or declines risks.
- Actuary: Calculates policy rates, reserves, and dividends.
- Adjuster: Investigates and settles claims.

Key Legislation

- Paul v. Virginia (1868): Insurance is NOT interstate commerce → states regulate.
- SEU Case (1944): Reversed Paul v. Virginia → insurance IS interstate commerce.
- McCarran-Ferguson Act (1945): Congress delegates regulation back to states. Violation: up to 1 year + \$10,000.
- USC 1033/1034 (1994): Felons cannot participate in insurance without written consent. Violation: \$50K fine + 15 years.
- Financial Services Modernization Act (1999): Allows banks to sell insurance.

- Do Not Call Registry (2003): Exempts charities, political orgs, and surveys.

Chapter 2 — Nature of Insurance, Risk, Perils & Hazards

Core Concepts

- Principle of Indemnification: Restores insured to ORIGINAL financial position. Insured cannot profit.
- Law of Large Numbers: Larger pool = more accurate loss predictions.
- Adverse Selection: Higher-than-average risks seek insurance more frequently.
- Peril: The immediate CAUSE of a loss (fire, accident, illness).
- Hazard: A condition that INCREASES the likelihood of a loss.

Types of Hazards

- Physical Hazard: Tangible condition increasing likelihood of loss (e.g., chronic back problems).
- Moral Hazard: Dishonest character or intentional harmful acts (e.g., lying on a claim).
- Morale Hazard: Indifference to loss because of insurance (e.g., careless behavior since insured).

Types of Risk

- Pure Risk: ONLY chance of loss — INSURABLE.
- Speculative Risk: Chance of gain OR loss (e.g., gambling) — NOT insurable.
- Standard Risk: Average potential for loss.
- Substandard Risk: Higher than average — higher premium.
- Preferred Risk: Lower than average — lower premium.

Risk Management Tools

- Risk Avoidance: Eliminates exposure entirely.
- Risk Reduction: Accepts risk but reduces likelihood (loss prevention).
- Risk Retention: Accepts risk, creates reserve to pay for it.
- Risk Transfer: Transfers risk to another party — BASIS OF INSURANCE.
- Risk Sharing: Spreads risk among multiple parties.

Chapter 3 — Legal Concepts of the Insurance Contract

4 Essential Elements (CLOC)

- Competent Parties: Legally mature, mentally sound, sober.
- Legal Purpose: Object and reason must be legal.
- Offer and Acceptance: Both parties must agree. Offer + Acceptance = Agreement.
- Consideration: Each party provides value. Applicant = premium + application. Insurer = promise to pay claims.

Special Contract Features

- Aleatory: One party may receive MORE value than paid (claim > premium).
- Adhesion: Prepared by ONE party (insurer). Ambiguity resolved in INSURED's favor.
- Unilateral: Only ONE party (insurer) makes an enforceable promise.
- Conditional: Insurer's promise to pay is contingent on uncertain future events.
- Personal Contract: Non-transferable — EXCEPT life insurance (can be borrowed against or sold).
- Valued Contract: Pays a stated sum regardless of actual loss.
- Indemnity Contract: Pays an amount EQUAL to the actual loss.

Important Legal Concepts

- Utmost Good Faith: Both parties disclose all material information.
- Representation: Statement applicant believes to be true. Statements on application = representations.
- Warranty: Statement GUARANTEED to be true.
- Concealment: Failure to disclose a known material fact.
- Fraud: Intentional misrepresentation to obtain benefits under false pretenses.
- Waiver: Voluntary surrendering of a known right.
- Estoppel: Insurer must honor misleading agent statements even if policy contradicts them.
- Void Contract: Lacks one of the 4 essential elements — never went into effect.
- Voidable Contract: In-force agreement that may be terminated for policy violation.
- Insurable Interest: Must exist AT TIME OF APPLICATION only (not at claim payment).
- Subrogation: Insurer's right to pursue liable third parties for amounts paid out in claims.

Law of Agency

- Principal = Insurer. Agent acts on behalf of principal.
- Express Authority: Specifically written in agent's contract.
- Implied Authority: Authority assumed necessary to carry out express authority.
- Apparent Authority: Based on appearance of authority — can exist without written agreement.

Chapter 4 — Life Insurance Policies

Term Life Insurance

- Pure/temporary protection. NO cash value. Lowest initial premium.
- Level Term: Fixed death benefit and premium for specified period.
- Increasing Term: Death benefit increases at intervals.
- Decreasing Term: Death benefit decreases (e.g., mortgage redemption insurance).
- Credit Life: Pays loan balance if debtor dies. Maximum benefit = value of the loan.
- ART/YRT: Annually Renewable Term — renews each year without evidence of insurability (step-up premium).
- Convertible Option: Convert to permanent without evidence of insurability.

Whole Life Insurance

- Permanent protection. Level fixed premium. Guaranteed cash value (tax-deferred).
- Matures at age 100 (cash value = face value).
- Straight Life / Ordinary Life: Premiums payable for life. Most common whole life type.
- Limited Payment Whole Life: Higher premiums for shorter payment period.
- Single Premium Whole Life: Most expensive initially; immediate non-forfeiture value.
- Modified Whole Life: Lower premium initially, then HIGHER than straight life.
- Indexed Whole Life: Face amount increases with CPI without evidence of insurability.

Universal Life (UL)

- Term insurance + cash value (money market) + flexible premium + adjustable death benefit.
- Option A: Death benefit = face amount (decreasing term + increasing cash values).
- Option B: Death benefit = face amount + cash values (level term + increasing cash values).
- Target premium: Suggested premium in UL policies.
- Cash value grows at money market rates with guaranteed minimum interest.

Variable Life (VL)

- Cash value in a SEPARATE ACCOUNT invested in securities.
- Requires BOTH securities license (FINRA) AND state insurance license.
- Guaranteed minimum death benefit; cash value varies based on investment performance.
- Fixed premium.
- Variable Universal Life (VUL): Flexible premium + investment control (hybrid UL + VL).

Special Products

- Endowment Policy: Cash value grows rapidly; matures BEFORE age 100. Higher premiums than WL.
- Modified Endowment Contract (MEC): "Failed the 7-pay test." 10% penalty on premature withdrawals.
- Joint Life: Covers 2+ people; pays on FIRST death.

- Last-to-Die / Survivor Policy: Pays on death of LAST covered person.
- Family Maintenance Policy: Whole life + level term; income for specific period from date of death.

Chapter 5 — Policy Provisions, Options & Riders

Standard Provisions

- Entire Contract Clause: Policy + attached application = entire agreement.
- Insuring Clause: Company's basic promise to pay benefits.
- Incontestable Clause: After 2 years, insurer cannot contest validity. Age/sex/gender can ALWAYS be contested.
- Grace Period (Life): 31 days. Policy stays in force even if premium unpaid.
- Free-Look Provision: Return policy for full premium refund (no reason needed).
- Reinstatement Period: Typically 3 years from lapse. If not accepted in 45 days, auto-reinstated.
- Suicide Clause: Suicide excluded during initial period (typically 2 years).
- Automatic Premium Loan (APL): Insurer loans from cash value to pay overdue premium.
- Spendthrift Clause: Protects beneficiary's proceeds from creditors.

Non-Forfeiture Options (3)

- 1. Cash Surrender: Receive cash value; policy terminates.
- 2. Reduced Paid-Up: Use cash value to purchase smaller paid-up permanent policy.
- 3. Extended Term: Use cash value to buy term insurance for same face amount as long as possible.
- Extended term provides the MOST life insurance protection on voluntary surrender.

Dividend Options (5)

- 1. Cash payment
- 2. Reduce/suspend premiums
- 3. Paid-up permanent additions
- 4. One-year term insurance
- 5. Accumulate at interest
- Dividends from participating policies = NOT taxable (return of excess premium).

Settlement Options

- Lump Sum: Full payment minus outstanding loans and overdue premiums.
- Interest Only: Company holds death benefit; pays only interest to beneficiary.
- Fixed Amount: Fixed installment payments until principal + interest exhausted.
- Fixed Period: Equal installments over a set number of years.
- Life Income (Straight Life): Monthly payments for beneficiary's lifetime; stops at death.
- Life with Period Certain: Lifetime payments; if beneficiary dies early, payments continue to contingent for set period.
- Joint and Survivor: Benefits paid to 2+ people for life.

Key Riders

- Waiver of Premium: Premiums waived if insured becomes totally disabled.
- Accidental Death Benefit: Double (or triple) indemnity for accidental death. Principal sum = death benefit paid.
- Dismemberment: Capital sum = 1/2 of principal sum.
- Guaranteed Insurability Option (GIO): Purchase additional insurance without evidence of insurability.
- Payor Rider: Only added to juvenile policy — waives premium if parent/payor dies or becomes disabled.
- Cost of Living Rider: Increases face amount based on CPI increases automatically.
- Long-Term Care Rider: Pays when insured cannot perform 2 of 6 ADLs.
- Accelerated Death Benefit / Living Benefits: Access death benefit if terminally ill.

Chapter 6 — Premiums, Proceeds & Beneficiaries

Premium Calculations

- Three factors: Mortality (death rate) + Interest (investment earnings) + Expense loading (operating costs).
- Net Premium: Covers mortality + interest only.
- Gross (Annual) Premium: Net premium + expense loading.
- Premium modes from LOWEST to HIGHEST annual cost: Annual < Semi-annual < Quarterly < Monthly.

Beneficiary Rules

- Primary Beneficiary: Receives death benefit when insured dies.
- Contingent (Secondary): Second in line.
- Tertiary: Third in line (survives both primary and contingent).
- Revocable Beneficiary: Can be changed anytime without beneficiary permission.
- Irrevocable Beneficiary: Cannot be changed without beneficiary's WRITTEN CONSENT.
- Per Capita: By the PERSON (each surviving beneficiary receives equal share).
- Per Stirpes: By BLOODLINE (deceased beneficiary's share passes to their heirs).
- Class Designation: e.g., "all surviving children."
- Uniform Simultaneous Death Act: If both insured and beneficiary die in common disaster, INSURED is deemed to have survived.

Tax Rules

- Death benefits received by beneficiary: EXEMPT from federal income tax.
- Dividends from participating policies: NOT taxable (return of excess premium).
- Section 1035 Exchange: Tax-free exchange of insurance policies (postpones tax consequences).
- Cost Recovery Rule: Policy surrendered for cash value — cost basis (premiums paid) exempt from taxation.
- Viatical Settlement: Terminally ill (not expected to survive 24 months) can sell policy to third party.

Chapter 7 — Underwriting & Policy Issue

Underwriting Process

- Field underwriter / producer: Solicits, completes applications, collects premiums. Does NOT issue policy.
- Applicant: Person requesting insurance; becomes policy owner.
- Proposed Insured: Person to be insured (may differ from applicant).
- Application Parts: Part I = personal info. Part II = health history. Part III = financial/character.
- Representations: Statements believed to be true. Warranties: Guaranteed to be true.
- Incomplete applications must be returned to the agent.
- Applicant must INITIAL any changes made to the application.
- Life insurance minor definition: Under age 15.

Receipts & Coverage

- Conditional Receipt: Coverage begins IF application is approved as applied for.
- Binding Receipt: Coverage GUARANTEED until insurer formally rejects application.
- Date on conditional receipt: ALWAYS earlier than issue date.

Risk Classifications

- Preferred Risk: Below-average risk; lower premium.
- Standard Risk: Average; standard premium.
- Substandard Risk: Above-average; highest premium (rated up).
- Declined: Too high-risk — not insurable.

Important Disclosures

- Medical Information Bureau (MIB): Clearinghouse of health info from insurance applications. Life and health insurers share data.
- Buyer's Guide + Policy Summary: Must be provided to all applicants.
- Backdating: Purpose = use premiums based on earlier (lower) age.
- USA PATRIOT Act: Purpose = detect and deter terrorism.

Chapter 8 — Group Life Insurance

Group Insurance Basics

- Group life = annual renewable term insurance.
- Two-party contract: Employer (contract holder) + Employees (certificate holders).
- Employees are NOT required to provide evidence of insurability.
- Cannot form a group solely to get insurance.
- Non-contributory: Employer pays entire cost. Must cover 100% of employees.
- Contributory: Employees share cost. Must cover 75% of employees.

Key Timelines

- Probationary period (new employees): 1–6 months.
- Enrollment period: 31 days.
- Conversion privilege: 31 days after group coverage termination.
- Conversion: Group term can be converted to PERMANENT individual insurance (no evidence of insurability required).

Group vs. Individual Insurance

- Group: One master policy, same benefits, group underwriting, less expensive.
- Individual: Own policy, customized benefits, individual underwriting, more expensive.

Chapter 9 — Annuities

Annuity Basics

- Primary use: Provide RETIREMENT INCOME. An annuity is NOT life insurance.
- 4 Parties: Insurer, Contract Owner, Annuitant, Beneficiary.
- Accumulation period = pay-in phase. Annuity period = payout phase.
- Surrender charges: First 5–8 years of contract.
- Bailout provision: Surrender without penalty if interest falls below stated level.

Types of Annuities

- Fixed Annuity: Guaranteed rate of return. Insurer bears investment risk.
- Equity Indexed Annuity (EIA): Fixed annuity tied to equity index. NOT a security.
- Variable Annuity: Contract owner bears investment risk. Requires FINRA registration + state license.
- Immediate Annuity: First payment one interval after purchase date.
- Deferred Annuity: Payments start at a future specified date.

Payout Options

- Straight Life Income: Payments for annuitant's lifetime only — stops at death.
- Life with Period Certain: Lifetime payments; if annuitant dies early, payments continue for set period.
- Cash Refund: Guaranteed income for life; if annuitant dies early, lump-sum refund to beneficiary.
- Installment Refund: Total fund guaranteed to be paid to annuitant or beneficiary.
- Joint and Survivor: Payments to 2+ people for their joint lifetime.
- Joint and 2/3 Survivor: Survivor receives 2/3 of original joint income.
- Period Certain: NOT based on life contingency — payments for specified years only.

Tax Notes

- Annuity benefit payments = combination of principal (tax-free) + interest (taxable).
- Cannot exchange annuity tax-free for a life insurance contract.
- Tax-sheltered annuity (TSA / 403(b)): For non-profit and educational employees.

Chapter 10 — Uses of Life Insurance

Personal Uses

- Human Life Value Approach: Calculates expected lifetime earnings to determine coverage need.
- Needs Approach: Based on family financial goals and objectives.

Business Uses

- Buy-Sell Agreement (Business Continuation Plan): Keeps business running after owner's death.
- Cross-Purchase Plan (Partnership): Each partner buys policy on each other partner.
- Entity Plan (Partnership): Partnership buys deceased partner's share.
- Stock Redemption Plan: Corporation buys back stock of deceased shareholder (entity plan for corporations).
- Key Person Insurance: Prevents financial loss when key employee dies. Premiums NOT deductible; death benefit received tax-free.
- Executive Bonus Plan: Employer pays bonus; employee uses bonus to pay premium on own life insurance.
- Deferred Compensation: Executive benefit paid at a later date.
- Salary Continuation Plan: Replaces executive income at death, retirement, or disability.

Chapter 11 — Retirement Plans

Qualified vs. Non-Qualified Plans

- Qualified Plans: Meet federal requirements; tax-deductible business expense; favorable tax treatment.
- Non-Qualified Plans: Do not meet federal requirements; no special tax treatment.
- ERISA: Protects rights of workers in employer-sponsored plans. Eligibility: age 21 + 1 year of service.
- Vesting: Right to employer contributions. Employees always IMMEDIATELY vested in their OWN contributions.
- Top-Heavy Plan: More than 60% of assets attributable to key employees.

Plan Types

- Defined Contribution Plan: Contribution is fixed; final benefit depends on total contributions + earnings.
 - Profit-Sharing: Employees participate in company profits. Early withdrawal penalty (before 59½): 10%.
 - Stock Bonus Plan: Benefits distributed as company stock.
 - Money Purchase Plan: Fixed contributions; future benefits determined.
- Defined Benefit Plan: Establishes a definite predetermined future benefit.
- Keogh Plan: Qualified retirement plan for UNINCORPORATED businesses.
- SIMPLE Plan: For businesses with 100 or fewer employees. May be IRA or 401(k) structure.
- TSA/403(b): For non-profit 501(c)(3) organizations and public school employees.

IRAs

- Traditional IRA: Contributions may be tax-deductible. Taxed on withdrawal.
- Annual contribution limits: \$7,000 (under 50); \$8,000 (age 50+). Limit applies ACROSS all IRAs combined.
- Required Minimum Distributions (RMDs): Must begin by April 1 following the year reaching age 73.
- Early distribution penalty exceptions: Death, disability, medical expenses, higher education, first-home purchase (\$10K max), health insurance while unemployed.
- Roth IRA: Contributions NOT deductible; qualified withdrawals are TAX-FREE.
- Roth IRA premature withdrawal (before 59½): Earnings subject to 10% penalty.
- IRA Rollover: Must go DIRECTLY from one IRA to another or 20% withholding applies.

Chapter 12 — Social Security (OASDHI)

Funding & Benefits

- Social Security = OASDHI (Old Age, Survivors, Disability, Health Insurance).
- Funded by payroll taxes from employees, employers, and self-employed.
- Benefits based on Average Indexed Monthly Earnings (AIME).
- Primary Insurance Amount (PIA): Full retirement benefit at Full Retirement Age (FRA).

Insured Status

- Fully Insured: 40 quarters of coverage. Required for MAXIMUM benefits.
- Currently Insured: 6 quarters of coverage in the LAST 13-quarter period.
- Lump-sum death benefit: \$255.

Important Timelines

- Medicare eligibility: Age 65.
- Full Retirement Age (FRA): The age retirement benefits equal covered worker's PIA.
- Survivor benefits for spouse without dependents: Age 60.
- Blackout period: Between insured's death and surviving spouse's retirement benefit eligibility.

Medicare Parts

- Part A: Hospital Insurance.
- Part B: Supplementary Medical Insurance (doctor's services). Insured pays 20% coinsurance after deductible.
- Part C: Medicare Advantage.
- Part D: Prescription Drug Plan.
- CDI has NO jurisdiction over Medicare.

Disability & Other Notes

- Social Security disability = unable to engage in ANY occupation.
- A worker NOT eligible for SS disability benefits if they CANNOT do CURRENT job but are seeking other employment.
- Dual benefit rule: Eligible individuals may only collect the GREATER benefit.

PRACTICE QUESTIONS & ANSWERS

These questions are drawn directly from the official exam prep materials. Format: Question → Answer

Chapter 1 — Basic Principles

The Do Not Call Registry offers exemptions for calls placed from all of the following EXCEPT? Answer: Insurance sales calls	John has a policy giving him the right to share in the insurer's surplus. What kind of policy is this? Answer: Participating
A participating company is also referred to as which type of insurer? Answer: Mutual insurer	Why are dividends from a mutual insurer not subject to taxation? Answer: Dividends are considered a return of premium
Which insurer is established by a parent company to insure the parent's loss exposure? Answer: Captive insurer	A nonparticipating company is sometimes called a(n)? Answer: Stock insurer
Which of the following is a type of insurance where an insurer transfers loss exposures from policies? Answer: Reinsurance	Which of the following is NOT a benefit of insurance? Answer: Losses due to fraud are eliminated
An insurer's ability to make unpredictable payouts to policyowners is called? Answer: Liquidity	Which of the following is NOT considered advertising? Answer: A rating from a rating service company such as A.M. Best

Chapter 2 — Risk & Hazards

Which of the following refers to a condition that may increase the chance of a loss? Answer: Hazard	"The more times an event is repeated, the more predictable the outcome becomes" describes? Answer: Law of large numbers
Moral hazard is described as? Answer: Increased chance of loss because of an insured's dishonest tendencies	Which is a circumstance where there is a possibility of BOTH loss or gain? Answer: Speculative risk
Which of the following is NOT considered a definition of risk? Answer: The cause of a loss	A situation where there is ONLY a chance of loss or no loss is called? Answer: Pure risk
Which of the following is NOT an element of an insurable risk? Answer: Loss must be catastrophic	Restoring an insured to the same condition as before a loss is known as? Answer: Principle of indemnity

Which type of risk is gambling? Answer: Speculative risk	What would NOT be accomplished with the purchase of an insurance policy? Answer: Risk is eliminated
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Chapter 3 — Contracts

Which contract is defined as "one that restores an injured party to the condition before the loss"? Answer: Indemnity contract	A contract requires? Answer: An offer and acceptance of the contract terms
Which of the following is NOT required in the content of a policy? Answer: Probability of loss	Which statement is CORRECT when describing a contract of adhesion? Answer: Contract may be accepted or rejected by the insured
A unilateral contract is one in which? Answer: Only one party (the insurer) makes any kind of legally enforceable promise	Which course of action is the insurer entitled to when deliberate concealment is committed? Answer: Rescinding the contract
Which of the following is NOT a requirement of a contract? Answer: Equal consideration is required between the parties	What principle states "insureds are entitled to recover an amount NOT greater than their loss"? Answer: Indemnity

Chapter 4 — Life Insurance Policies

John and Mary have a handicapped dependent child. The death of BOTH would be disastrous. Best policy? Answer: Second-to-die policy	Which type of life insurance is normally associated with a mortgage loan? Answer: Decreasing term
A life insurance policy where the insured can choose where cash value is invested is? Answer: Variable life	Which combines a savings element with a flexible premium option? Answer: Universal life
What is the penalty tax on premature withdrawals from a Modified Endowment Contract (MEC)? Answer: 10%	A life insurance policy written after 1988 that fails the seven-pay test is known as? Answer: A modified endowment contract
A policy that pays the face amount if the insured SURVIVES to a specified period is? Answer: Endowment insurance	In a renewable term life insurance policy, the contract will usually? Answer: Require a higher premium payable at each renewal
Which type of life insurance is NOT true about child coverage in a family policy? Answer: Conversion of child's coverage requires evidence of insurability	What is the proper order of initial premiums from LOWEST to HIGHEST? Answer: Modified premium, ordinary life, single premium

Chapter 5 — Provisions, Options & Riders

What does the grace period allow a life insurance policyowner to do? Answer: Make a premium payment after the due date without loss of coverage	When does a life insurance policy's waiver of premium take effect? Answer: Insured becomes totally disabled
If insured dies in an accident, which rider provides additional coverage? Answer: Accidental death rider	Jerry understated his age; paying \$12 instead of \$15 per \$1,000. Adjusted death benefit? Answer: 12/15th of the policy's face amount
What does the guaranteed insurability option allow? Answer: Purchase additional coverage with no evidence of insurability required	Which of these is NOT a valid policy dividend option? Answer: Monthly income payments
Which provision protects the policyowner from unintentional lapse of the contract? Answer: Grace period	When a life insurance policy is surrendered, how does the cost recovery rule apply? Answer: The policy's cost basis is exempt from taxation
Which provision will pay a portion of the death benefit prior to death due to serious illness? Answer: Accelerated death benefit	In a life insurance policy, the entire contract consists of? Answer: Policy and attached application

Chapter 6 — Premiums & Beneficiaries

Which describes the number of deaths in a year compared to people in a group? Answer: Mortality rate	Which is NOT a component of determining policy premiums? Answer: Dividends
Where are policy proceeds paid if both insured and primary beneficiary die in the same accident? Answer: Contingent beneficiary	How are death benefits received by a beneficiary normally treated for tax purposes? Answer: Exempt from federal income taxes
Which calculation factor is affected by insured's age and gender? Answer: Mortality	Pam wants death benefit to accumulate and receive only monthly investment proceeds. Best option? Answer: Interest Option
When would a creditor have rights to life insurance proceeds? Answer: When the insured's estate is named beneficiary	Naming a contingent beneficiary as "all surviving children" is described by which term? Answer: Class designation
Which is NOT a life insurance settlement option? Answer: Extended term option	The premium payment mode that results in the highest overall annual cost? Answer: Monthly

Chapter 7 — Underwriting & Policy Issue

What are MIB members required to report? Answer: Medical ailments discovered during the underwriting process	When an insurer requests an attending physician's report, the request must be accompanied by? Answer: A copy of the signed authorization
Which type of information is NOT required for a life insurance application? Answer: Ethnicity	Underwriters can acquire information from all EXCEPT? Answer: Genetic testing
The MIB consists of? Answer: Life and health insurance companies	What is the purpose of backdating a life insurance policy? Answer: To use premiums based on an earlier age
Which risk classification charges the highest premium? Answer: Substandard	

CA-Specific & Final Exam Questions

According to the CA Insurance Code, what term describes a fact so important it could affect the premium? Answer: Materiality	Which act is NOT a Federal offense committed by an insurance agent? Answer: Misrepresentation on an insurance application
Before an insurer can test an individual for HIV, what must be completed? Answer: Consent form	According to CA Insurance Code, how is the word "may" interpreted? Answer: Permissive
Which of the following does the CDI have NO jurisdiction over? Answer: Medicare	In California, an insurer organized under Oregon law is called? Answer: Foreign insurer
Anyone employed in CA to assist an insurance agent is called? Answer: Insurance solicitor	Which is NOT protected under the California Life and Health Guarantee Association? Answer: Insurers
Pete is a life agent who misappropriated fiduciary funds to his own use. What is Pete guilty of? Answer: Theft	A life settlement broker represents? Answer: The individual wanting to sell their life policy to a third party
In what order are people on the MRMIP waiting list allowed to enroll? Answer: Based on the date the application is received	MRMIP stands for? Answer: Major Risk Medical Insurance Program

What is required after a life agent sells a policy without being appointed by the insurer? Answer: Notice of appointment must be submitted to the Commissioner	An individual who transacts life, disability, or life and accident and health insurance is called? Answer: Life agent
Under PPACA, how long can an adult be covered as a dependent under parents' insurance? Answer: Up to age 26	How long must a health policy be in force before insurer cannot deny claims for misstatements? Answer: 2 years
At what age is a surviving spouse (without dependents) eligible for SS survivor benefits? Answer: Age 60	Medicare Part A covers? Answer: Hospital Insurance
Medicare Part B: what portion does insured pay after deductible? Answer: 20%	A fully insured Social Security individual has earned? Answer: 40 quarters of coverage
The lump-sum death benefit from Social Security is? Answer: \$255	IRA annual contribution limit for a person UNDER age 50? Answer: \$7,000
IRA annual contribution limit for a person age 50 or OLDER? Answer: \$8,000	Traditional IRA RMDs must begin by? Answer: April 1 following the year reaching age 73
What does ESOP stand for? Answer: Employee Stock Ownership Plan	ESOPs are typically invested in? Answer: Employer stock
Keogh plans are designed for? Answer: Unincorporated businesses	SIMPLE plans are available to businesses with how many employees? Answer: 100 or fewer employees

QUICK REFERENCE — KEY NUMBERS & RULES

ITEM	VALUE / RULE
Grace period — Life insurance	31 days
Grace period — Health insurance	10 days
Free-look period	10 days (life); varies for annuities
Reinstatement period — Life	Up to 3 years from lapse
Incontestable period	2 years from issue date
Suicide exclusion period	2 years from issue date
Group enrollment period	31 days
Group conversion period after termination	31 days
MEC — Premature withdrawal penalty	10%
IRA contribution limit (under 50)	\$7,000 per year
IRA contribution limit (age 50+)	\$8,000 per year
IRA RMD start age	Age 73 (April 1 following year)
Roth IRA premature withdrawal penalty	10% on earnings
IRA rollover withholding (if not direct)	20%
Social Security — fully insured	40 quarters of coverage
Social Security — currently insured	6 quarters in last 13 quarters
SS lump-sum death benefit	\$255
SS survivor benefit age (no dependents)	Age 60
Medicare eligibility	Age 65
Medicare Part B coinsurance	20% after deductible
Maximum credit life benefit	Value of the loan
Minor definition (life insurance)	Under age 15
Top-heavy plan threshold	Over 60% to key employees
SIMPLE plan employee limit	100 or fewer employees (\$5K+ in prior year)
USC 1033/1034 violation penalty	Up to \$50,000 + 15 years + license revocation

McCarran-Ferguson violation penalty	Up to 1 year jail + \$10,000 fine
Capital sum (dismemberment)	1/2 of principal sum